Customer Churn

Understanding Key Churn Drivers and the Financial Toll on the Bank

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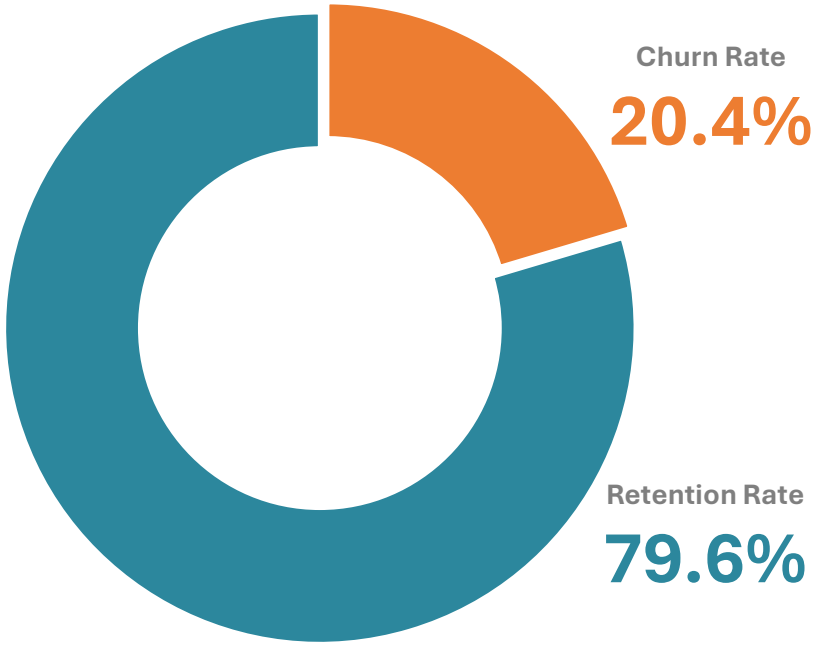
Our Story at a Glance

1. Churn Rate Overview
2. What Drives Churn?
3. Financial Impact of Churn
4. Turning the Tide: Our Strategic Pivot

One in Five Customers Are Exiting the Bank

Churn Rate Above 18% Benchmark



10,000 Total Customers Analyzed

Significant sample size to analyze and pinpoint churn drivers across diverse segments.

2,037
Customers Lost

Signals a pressing need for strategic intervention.

7,963
Customers Retained

Highlights a critical opportunity for improvement.

$185,588,095
Total Balance Lost

Churned customers took **24.3%** of the total balance.

$579,270,798
Total Balance Retained

59.2% current balance poses a risk if churn is not curbed.

What Drives Churn?

Key Drivers

Demographic

- Age
- Gender
- Geography

Account Relationship

- Activity Status
- Number of Products

Weak Standalone Drivers

Financial Profile

- Balance
- Credit Score

Non-Drivers

Account Relationship

- Credit Card Ownership
- Tenure

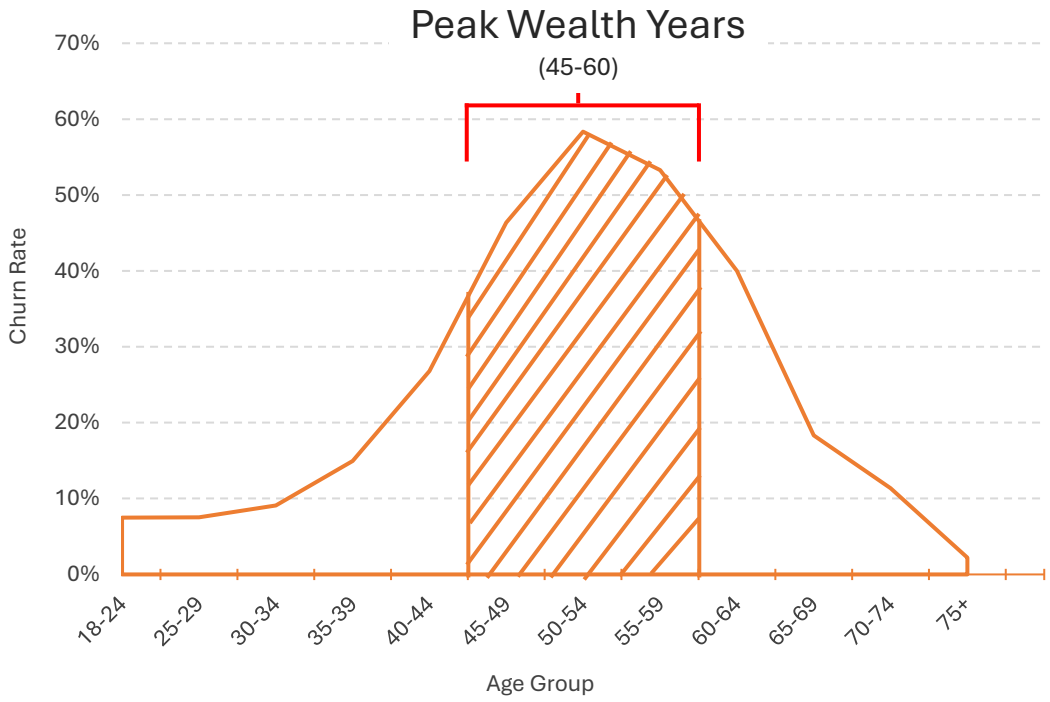
Financial Profile

- Estimated Salary

Peak Wealth Age Group at Critical Risk

Churn Rate Rises with Age

Churn Rate by Age Group



49.5% Churn Rate (Ages 45-60)

Nearly half of our 'Golden Demographic' leaves before retirement.

Generational Loyalty Gap

While Millennials remain stable, we are failing clients during their highest net-worth years.

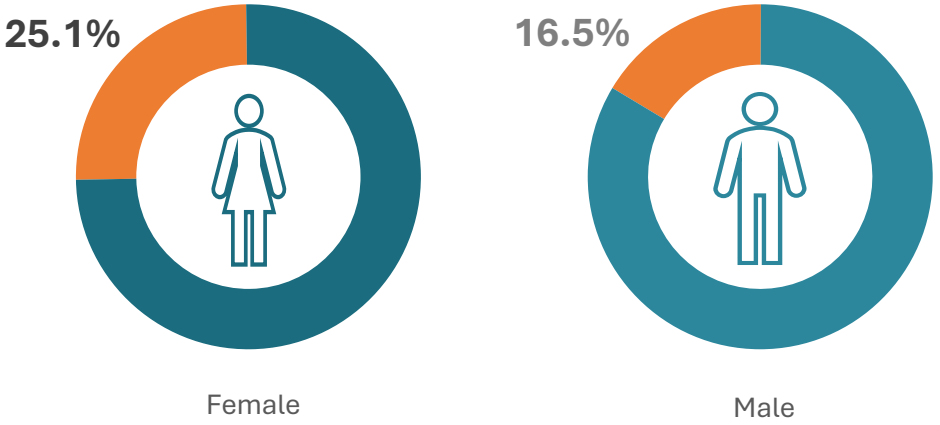
Strategic Vulnerability

Competitors are likely targeting our mature clients with better wealth-preservation offers.

Gender Disparity and Inactivity Accelerate Churn

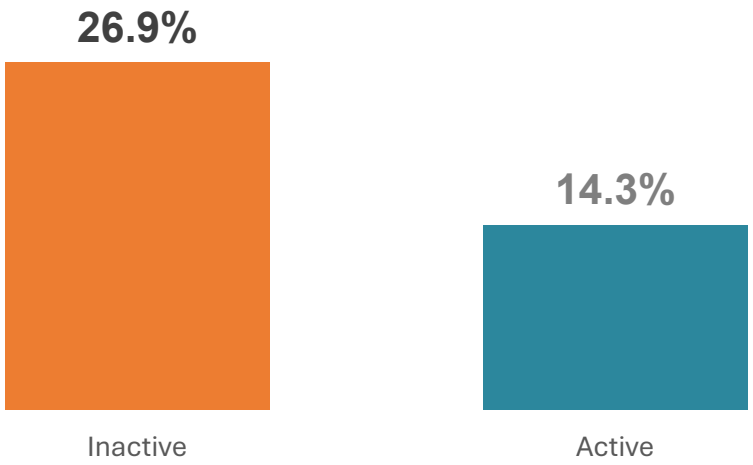
Female Customers Show Higher Churn Compared to Males

Churn Rate by gender



Inactive Customers are Two Times More Likely to Leave than Those Who Remain Engaged

Churn Rate by Activity Status



The Engagement Gap for Female Clients

Analysis signal a critical "service gap" where current retention offerings may not align with the specific financial priorities or engagement styles of this demographic.

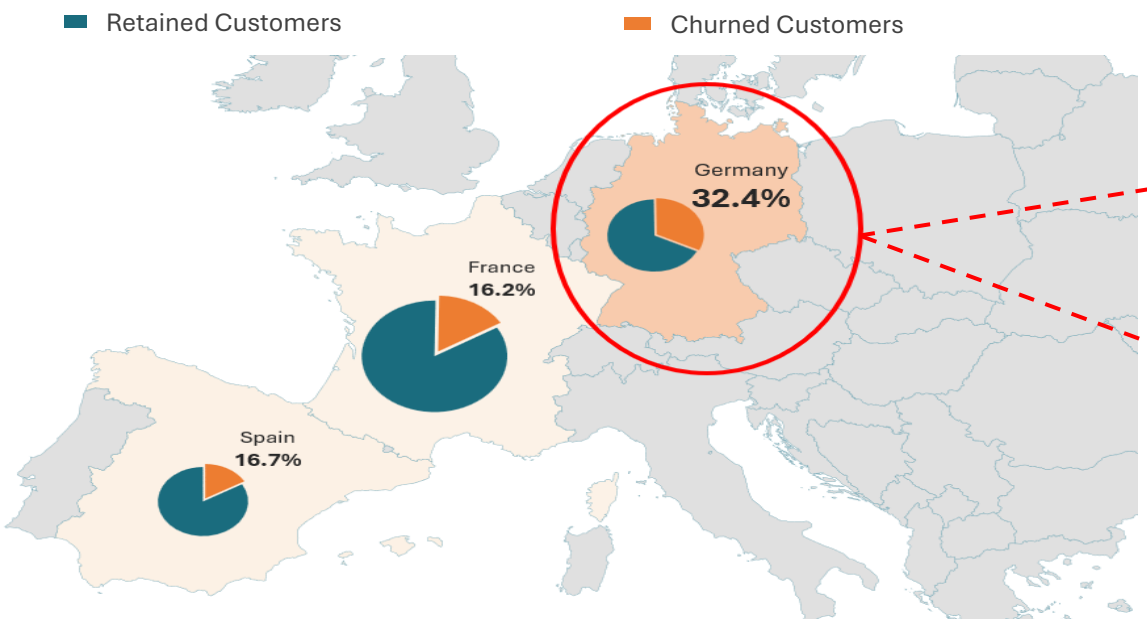
Dormant Value Before Exit

Customer inactivity is an "early warning" signal. Dormancy is a direct precursor to total balance exit, representing a **compounding loss of future lifetime value**.

Germany: A Concentration of Risk

High-Risk Attrition in Germany Despite Smaller Customer Base

Churn Rate and Customer Volume Across European Markets



Churn Rate Matrices

Country vs Gender

Country	Female	Male
France	20.3%	12.7%
Germany	37.6%	27.8%
Spain	21.2%	13.1%

Gender

Country vs Activity Status

Country	Inactive	Active
France	21.1%	11.5%
Germany	41.1%	23.7%
Spain	23.4%	10.8%

Activity Status

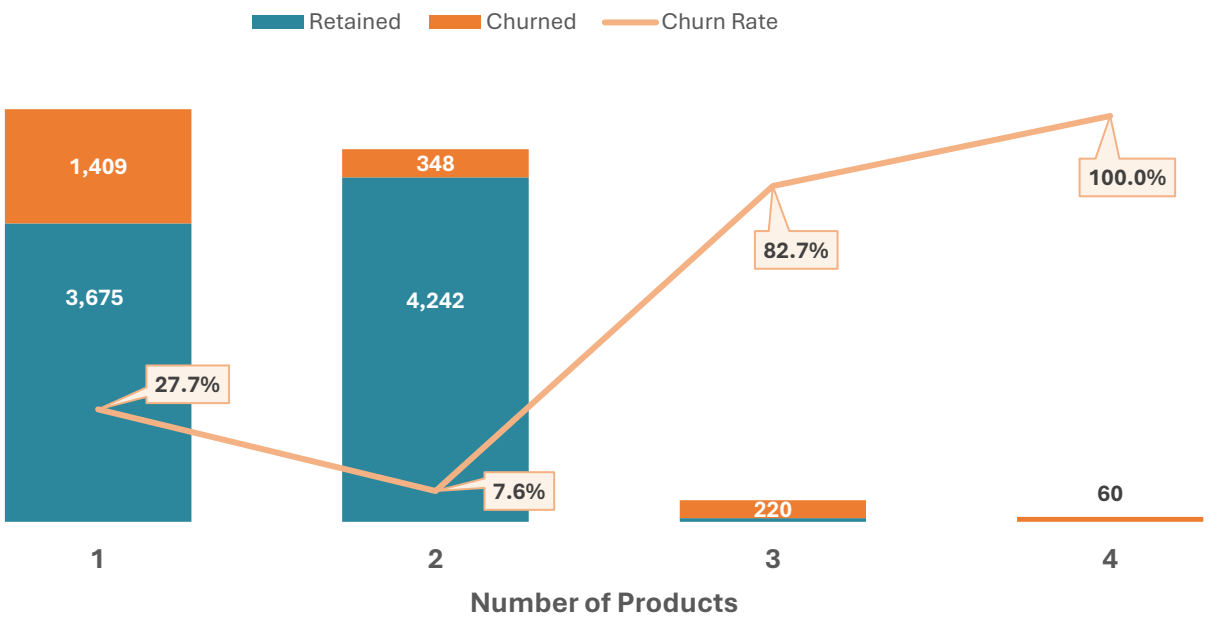
German Market Disruption

- Churn Rate is double that of France or Spain.
- Over $98M capital loss (1/3 of total deposits) in the analyzed period.
- Indicates local competitive pressure or regional service quality dissatisfaction.

The 1-Product Vulnerability: A High-Volume Exodus

1-Product Customers Dominate Churn Volume, while 3 and 4-Product Customers Show Unexpectedly High Churn Rates Despite Smaller Numbers.

Churn Rate and Volume Across Product Tiers



1-Product Segment

Most significant loss in nominal value, representing the bulk of our customer flight (1,409).

Our largest exposed risk category with 5,084 total customers.

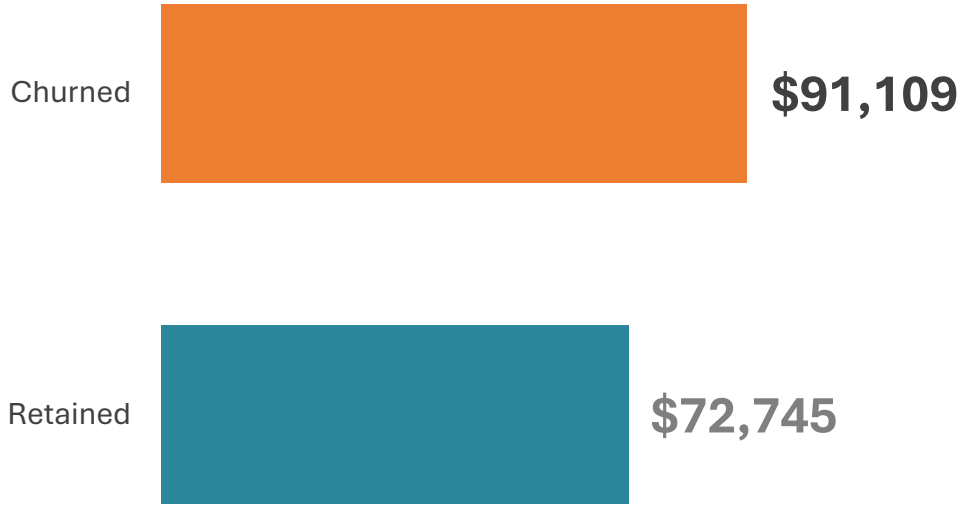
3 & 4-Product Segment

While churn rates are alarmingly high, these groups represent only 3.26% (326) of our customer base, making them less significant to the bottom line.

We are Losing our Wealthiest Clients

High-Value Customers Pose a Greater Churn Risk

Average Balance Comparison



25% Higher Balance in Churners

Departing clients have a higher average balance than those staying.

Adverse Selection Pattern

The bank is losing its most liquid assets while retaining lower-balance accounts.

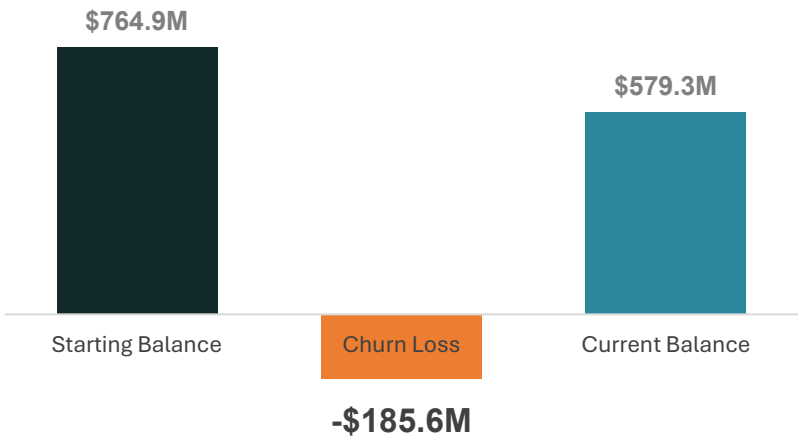
Asset Management Impact

This outflow directly impairs our ability to fund competitive lending and mortgage products.

Churn is Draining the Bank’s Financial Lifeline

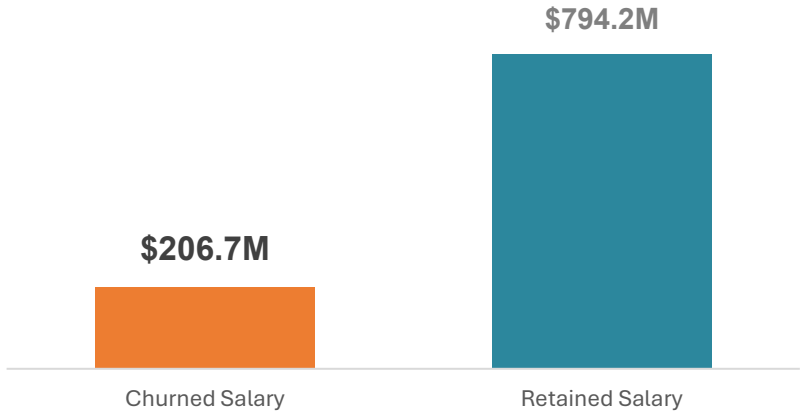
12% of Total Deposit Lost Due to Churn

Balance Loss Attrition



Significant Loss in Potential Earnings

Churn Impact on Estimated Salary



High Cost of Replacing “Cheap” Capital

Losing core deposits forces the bank to replace "cheap" internal funding with expensive market borrowing, directly shrinking profit margins and destabilizing liquidity.

Eroding Our High-Margin Revenue Base

High-earning churn creates a "multiplier loss," as these anchor clients represent the highest potential for lucrative cross-sales like mortgages, investments, and premium credit.

Turning the Tide: Our Strategic Pivot

Wealth Management for Seniors

Redesign our value proposition for the 45–60 demographic. This should include loyalty interest rates, dedicated financial advisors, and specialized retirement planning to counter the near 50% churn rate in this group.

German Market Audit

Conduct a deep-dive competitive analysis and service audit in Germany to identify if the high churn is due to localized competitor offers or poor regional service quality.

Optimization of Product Mix

Pivot marketing efforts and incentives to move 1-Product customers to a 2-Product "Anchor" status. Investigate the 3+ product segment to remove service friction or fee structures that are driving those customers away.

Affluent Customer Re-engagement

Use predictive triggers to flag inactive customers with balance of $100K+ for swift personal outreach and "active-status" incentives (e.g., fee waivers for 6 months, premium loan rates, and bonuses for referrals).

Gender-Inclusive Service

Tailor communication and product benefits to address the specific needs of female professionals and heads of households to recoup significant lost revenue.

“The Time to Turn the Tide is Now”

We welcome your questions and discussions